Example 2:

Let's say you wait a little longer to invest and you start at age 35 with a goal to retire 30 years later at age 65. You start investing $5,000 a year (or $416.67 a month) and have the same average rate of return of 6%. After 30 years, your investment would be worth **$419,008.39** versus **$151,975.26 (0.09%)** or **$202,842.02 (2%)** if you just put your money in a savings account.

This table illustrates what your annual and total contributions could be as well as what the growth of your money could be over that 30-year time period as a result of compounding.

Age	Total Contributions	Rate of Return (6%)	Total
35	$5,000	$300	$5,300.00
36	$10,000	$918	$10,918.00
37	$15,000	$1,873.08	$16,873.08
38	$20,000	$3,185.46	$23,185.46
39	$25,000	$4,876.59	$29,876.59
40	$30,000	$6,969.19	$36,969.19
41	$35,000	$9,487.34	$44,487.34
42	$40,000	$12,456.58	$52,456.58
43	$45,000	$15,903.97	$60,903.97
44	$50,000	$19,858.21	$69,858.21
45	$55,000	$24,349.71	$79,349.71
46	$60,000	$29,410.69	$89,410.69
47	$65,000	$35,075.33	$100,075.33
48	$70,000	$41,379.85	$111,379.85
49	$75,000	$48,362.64	$123,362.64
50	$80,000	$56,064.40	$136,064.40
51	$85,000	$64,528.26	$149,528.26